Theory case · Topic 1 · 2 points · 15 min

C05 — Three engineers choosing a legal form for a composite-repair shop

Ana, Bruno and Carla want to open a shop that repairs composite parts of light aircraft. Ana would invest 60,000 m.u. of savings; Bruno and Carla only their work. A single faulty repair could lead to claims far larger than everything they own, so they worry about losing their homes. They want to start quickly and cheaply, but in five years they hope to open three more shops with outside investors, and they want the business to continue if one of them leaves.

Part (a) · 1.25 points

Compare the sole proprietorship, the partnership and the corporation on the features that matter to the three engineers

Feature	Sole proprietorship	Partnership	Corporation
Owners	One person	Two or more co-owners	Shareholders
Liability	Unlimited	**Unlimited and joint**	**Limited**
Starting	Simple	Few restrictions	Complex and costly
Permanence	Impermanent	Relatively impermanent	Permanent
Funds	Hard to raise	Pooled funds and talents	Greater financial capability
Taxation	No separate tax	No separate tax	Special and double taxation

A sole proprietorship belongs to **one** person [Slide 21], so it does not fit three owners. A partnership is easy to set up through a partnership agreement and pools Ana's money with Bruno's and Carla's skills [Slide 22], but each partner answers for the firm's debts with all their personal wealth, jointly [Slide 23]. A corporation is a separate legal entity whose owners have **limited** liability [Slide 24].

KEY POINTS

- Sole proprietorship: one owner only, unlimited liability: ruled out.
- Partnership: easy to start, pooled talents; unlimited and joint liability, relative impermanence.
- Corporation: limited liability, permanence, easy transfer of shares, greater financial capability; complex and costly, double taxation.

Part (b) · 0.75 points

Recommend a legal form and justify it with the engineers' goals

The **corporation** fits best. Limited liability addresses their main fear: a large claim would affect the company's assets, not their homes. It is **permanent**, so the business continues if one partner leaves, and ownership is **easily transferred through shares**, which is how the outside investors of the expansion would enter; it also has greater financial capability [Slide 24]. The price is a more complex and costly formation, government regulation and disclosure requirements, and double taxation; the engineers should accept these costs in exchange for protection and growth. The course also lists forms of partnership that limit liability: the limited liability partnership (LLP) [Slide 20] and the limited partnership, where some partners answer only up to what they invested [Slide 29]. An LLP would also meet the fear of claims, but the corporation fits better with the plans for outside investors and continuity.

KEY POINTS

- Recommend a corporation: limited liability protects their homes; permanence; easy entry of investors through shares.
- Accept its drawbacks: cost of formation, regulation and disclosure, double taxation.